Thursday, 30 July 2026

Tonight's Number Describes June

The week's most-watched print measures a month that ended before oil broke higher, and the tape has already broken.

THE READING

Wednesday broke something. The S&P 500 closed at 7,316.15, forty points below Hedgeye's 7,356 floor — the week's first range break. The Dow fell 1,153 points, 2.19%, its worst day since April 2025. The Nasdaq fell for a sixth straight session and sits 10.1% below its record. The VIX rose 13.45% to 20.66, through the top of a band Hedgeye had narrowed that same morning.

Underneath, the curve did something worse than sell off. The two-year yield fell four basis points to 4.236% while the thirty-year rose twelve to 5.21%, a nineteen-year high. The Fed held at 3.50–3.75% and three officials dissented in favour of a hike. The mood is not fear. It is disorientation.

WHAT WISDOM WOULD SAY

David Hume, in the Enquiry Concerning Human Understanding of 1748, argued that no quantity of past observation establishes what must happen next. We move from "it has been so" to "it will be so" by custom rather than by proof. The step feels like reasoning and is closer to habit.

Tonight at 20:30 the June core PCE lands, the first inflation print after a three-dissent hold, and it will be read as a verdict. But the month it measures closed before WTI settled 6.6% higher at $84.46, before Brent went back through $90, before Hedgeye upgraded crude to bullish and bought energy, and before gold printed $4,147.80, above the $4,135 ceiling of a band raised only yesterday. Whatever the number says, it says it about a world with cheaper energy than the one now trading.

Hume's point is not that the number is worthless. It is that the confidence arriving with it will be borrowed from habit — the habit of treating the last observation as the shape of the next. When the inputs change after the measurement window closes, that habit is expensive.

THE RISK IT JUSTIFIES

The narrow consequence: do not let tonight's print set size in either direction. A cool June reading is not evidence about August, and a hot one is worse than it looks, because the oil is not in it yet. If the reaction is relief, it is a rally on stale information into an index still below a floor it broke. One close under 7,356 is noise inside Hedgeye's process; two would be a signal. Waiting for the second costs a day and buys a fact.

What owes nothing to tonight is the thirty-year at 5.21%. If the long end keeps rising while the front end rallies, no June inflation reading changes the arithmetic underneath equity multiples.

What would change this: a June core print far enough above expectations to be about trend rather than a month, or a second close below 7,356 with the VIX holding above 20. Either resolves the wait, in opposite directions.

How much of what you believe this morning was measured before the oil moved?